

# Module 6: Reactions to Liberalism — Conservatism and Classical Political Economy (1790–1830)

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*Political & Economic Thought — Master Notes · by Jakob V. Stangel*

**Readings:** Edmund **Burke**, *Reflections on the Revolution in France* (1790), pp. 25–31, 246–49 · **Backhouse**, *The Penguin History of Economics* (2023), pp. 143–48 (*Malthus & Ricardo*) · J. K. **Galbraith**, *A History of Economics* (1987), pp. 73–88. (Lecturer: Joachim Lund — deck "Dismal economists, Conservatism.")

**Theme of the module.** Modules 4–5 built the **liberal-Enlightenment** project — reason, rights, progress, liberal democracy. This module gathers the **two great reactions against it (1790–1830)**, both provoked by the **French Revolution**: (1) the "dismal" classical economists — **Malthus** and **Ricardo** — who turned Smith's optimism into a bleak science of **limits** (population outrunning food; wages stuck at subsistence; growth grinding to a "**stationary state**"); and (2) **political conservatism** — **Edmund Burke** — who attacked the Revolution's **abstract reason** in the name of **tradition, inheritance and gradual change**. Both are *counter-Enlightenment*: the economists puncture the faith in **progress**, Burke punctures the faith in **abstract reason remaking society**.

★ The red thread — the reaction against liberal optimism, in two registers:

- **The dismal science (Malthus & Ricardo):** Smith promised growth and a "general plenty." The classical economists reply: **there are limits**. **Malthus** — population grows *geometrically*, food only *arithmetically*, so misery is the natural check. **Ricardo** — as growth pushes farming onto worse land, **rent** rises and eats **profits**, while wages sink to **subsistence** (the "iron law"); growth stalls in the **stationary state**. Economics becomes the study of **scarcity and distribution**, not plenty.
- **Conservatism (Burke):** the Revolution's error is **abstract reason** — tearing down inherited institutions to build society from a blueprint. Against it Burke defends **tradition, prescription, prejudice** and an **inter-generational partnership**; reform must be **gradual and organic** — "*a state without the means of some change is without the means of its conservation.*"
- **The link:** both are "**the limits to Enlightenment**" — one says nature limits *material progress*; the other says inherited wisdom limits *rational politics*. (Note the irony: Burke's phrase for the new age is "*sophisters, economists, and calculators*" — the dismal economists are exactly who he means.)

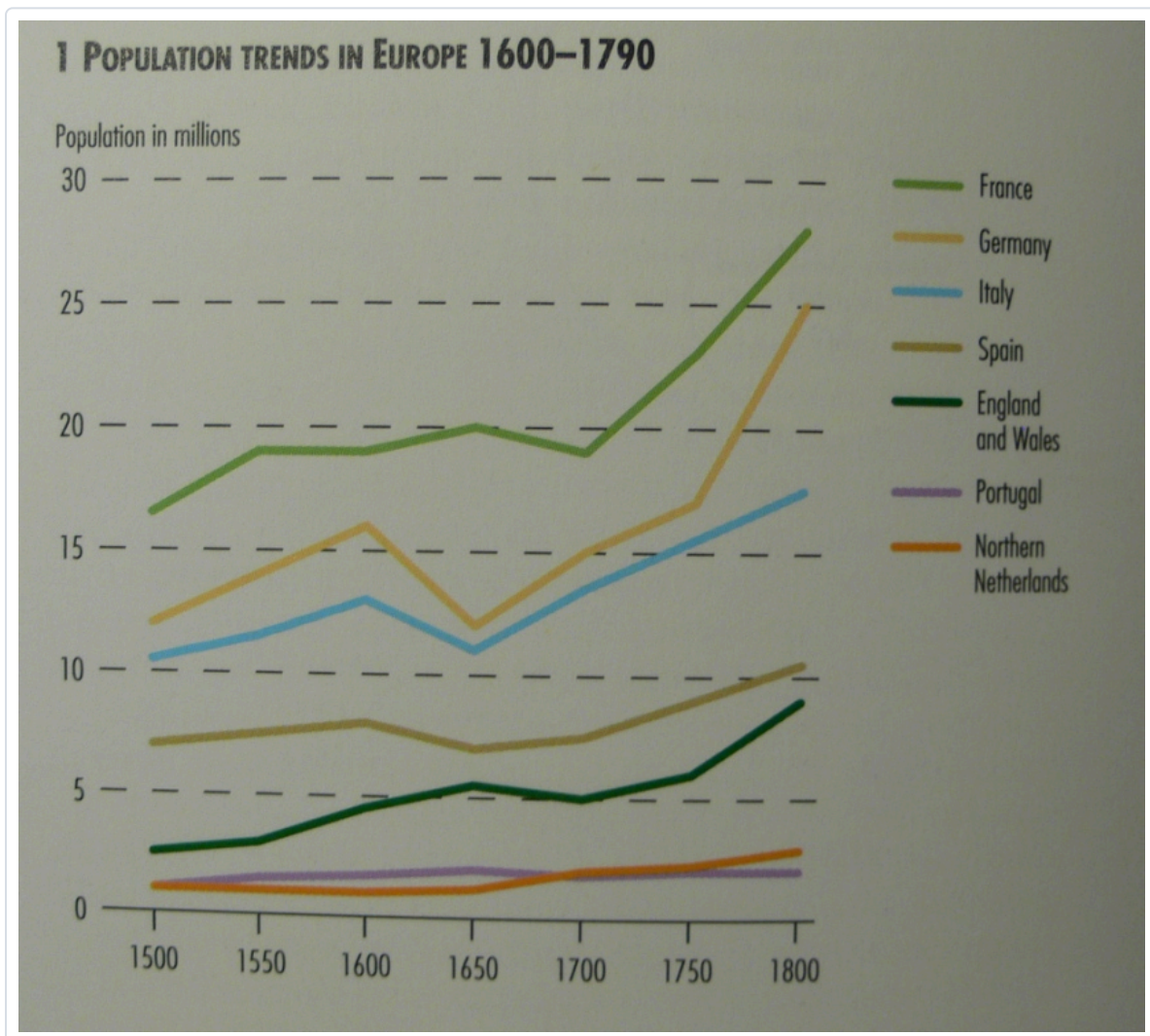
**Key concepts to apply:** *the dismal science · the population principle (geometric vs arithmetic) · positive · preventive · moral checks · the Malthusian trap / stationary state · the social question · the poor laws / Speenhamland · market gluts vs Say's Law · differential rent · margin of cultivation · diminishing returns · distribution (rent · wages · profit) · the iron law of wages · labour theory of value · the "Ricardian detour" · Say's subjective utility · the Corn Laws · free trade · comparative advantage · (Burke) prescription · prejudice · the inter-generational partnership · organic reform.*

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## Historical context — the "social question"

**Core:** Britain leads the world (empire, trade, naval power after the **Seven Years' War, 1756–63**) and is convulsed by the **First Industrial Revolution** (cotton, coal, iron, steam) and a **population explosion** — creating mass urban misery that contemporaries called "**the social question**." This is the world the classical economists tried to explain.

- **The industrial take-off:** division of labour moves from **manufactures to factories**; London grows from **575,000 (1700) to 1 million (1800)**; UK population rises **~50% (1801–41)**, doubling by 1901.
- "**The social question**" — the new urban poverty: uncontrolled **migration to the cities**, lack of housing/sanitation/public health, **tenement slums**, **women and children in factories and mines**, a "worn-down workforce," disease, poor schooling. *In plain terms:* growth was producing **wealth and squalor at once** — and everyone wanted to know *why*, and *what to do*.
- **The shadow of France:** the **French Revolution (1789)** and the wars (1793–1815) raised "the spectre of republicanism" and popular unrest; wartime **inflation, high grain prices, protectionism** and taxes pressed on the poor. Fear of a British revolution frames the whole debate (and provokes Burke).



How to read it. Every line **bends sharply upward in the 1700s** — this is the demographic surge (esp. after ~1750) that made **Malthus's** question urgent: if people multiply this fast, can food ever keep up? (England & Wales — the dark green line — roughly doubles across the century.)

## Adam Smith — the optimism they reacted against (recap)

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**Core:** the classical economists all **build on Adam Smith (1723–90)** — but they invert his mood. Smith founded "**political economy**" as an optimistic, liberal science of **growth and harmony**; Malthus and Ricardo turn it into a science of **limits and conflict**.

- **Smith's system** (from Module 3): "**political economy**" as an academic discipline, inspired by **political liberalism & natural law** (Locke) and the **Physiocrats** (Quesnay's input–output model; Gournay's *laissez-faire*; Turgot's free trade), opposing **mercantilism**.
  - **The core ideas they inherit:** the **division of labour** (cheap goods in quantity); the **invisible hand**; **abolish state regulation** of trade/production; the **labour theory of value** (production costs determine the "natural price"); **economic growth via capital accumulation**; and a **harmony of interests**.
  - **The reversal:** Smith saw growth spreading a "**general plenty... through all the different ranks of society**." Malthus and Ricardo deny it — for them the system tends toward **subsistence wages**, **falling profits** and a **stationary state**. *That pessimism is why Carlyle would dub it "the dismal science."*
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## Thomas Malthus (1766–1834) — the population principle

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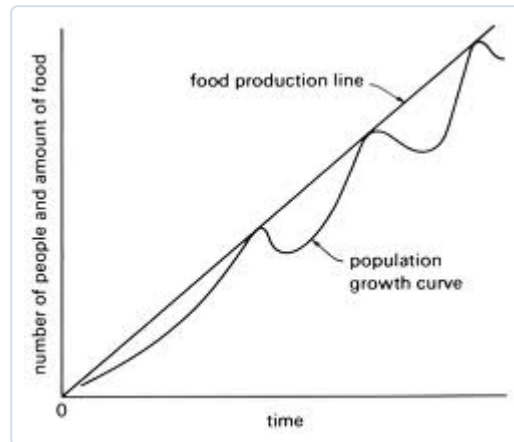
**Core:** a clergyman-economist who made his name **arguing against utopian optimism**. Against radicals like **Godwin and Condorcet** (who said abolishing **private property** would end poverty), Malthus replied: poverty is rooted in a **natural law** — population's tendency to **outstrip food** — that no redistribution can repeal.

### **| An Essay on the Principle of Population (1798)**

**Core:** the famous mismatch of two growth rates. **Population, unchecked, grows geometrically** ( $\times 2$  every 25 years: 1, 2, 4, 8...); **food can grow only arithmetically** (1, 2, 3, 4...). So population always **presses against the food supply**, and something must give.

- **The checks that hold population down:**
  - **Positive checks** — raise the **death rate**: war, famine, pestilence ("misery").
  - **Preventive checks** — lower the **birth rate**.
  - **Moral restraint** — added in the 2nd edition (1805): **postponed marriage** without "irregular gratification." *This third check matters because it opens a door to **progress** without catastrophe.*
- **Why it's "the dismal science":** if the poor get more income or relief, they simply **have more children** until they're pushed **back to subsistence** — so misery is the system's built-in regulator. The essayist **Thomas Carlyle** later coined "**the Dismal Science**," and "**Malthusian**" became a term of abuse for this hard-hearted, materialist "modern political economy."

- **Against the utopians (the point of the *Essay*):** Malthus argued **private property is essential** (without it, Smith's productive self-love fails), and that giving money to the poor doesn't help "unless someone else consumes less" — it just **raises dependence on the state**. *He shared the Enlightenment's faith in reason (he saw himself applying Newton to society) but not its faith in human perfectibility.*



*How to read it (the Malthusian trap).* Food (the straight line) grows **steadily**; population (the wavy curve) keeps **surging up to the food ceiling**, then gets **checked back down** (famine, disease) whenever it overshoots. Living standards can never durably rise above subsistence — every gain is **eaten by extra mouths**. This is the "trap" that made growth look hopeless.

## ■ The poor laws and Malthus's "solutions"

**Core:** Malthus's policy conclusion is bleak and controversial: **abolish poor relief**. He argued the **Speenhamland System** (1795) — topping up wages according to the **bread price** and the **number of children** — made poverty worse.

- **Why Malthus thought poor relief backfired** (deck): it created perverse incentives — an **incentive to have more children**, an **incentive for employers to lower wages** (the parish tops them up), an **incentive to idleness**, and it **strips people of personal responsibility**. *(In his view, "poverty reduces the number of births and surviving children" — so relief only postpones the reckoning.)*
- **His stance:** poor relief is **counterproductive**; **private property is the foundation of growth**; and — see gluts — the **landed aristocracy** has a positive economic role. → *Malthus is the more socially conservative of the two economists: a defender of the old landed order.*

## ■ Market gluts — Malthus vs Say's Law

**Core:** Malthus's most original (and heretical) idea: an economy can suffer a **general "glut"** — **too much output and too little demand at once** — so growth can **stall for lack of buyers**. This directly contradicts Say's Law.

- **Say's Law ("supply creates its own demand"):** the orthodox view (from **Jean-Baptiste Say**, 1767–1832, and accepted by Ricardo) that **every act of production generates exactly enough income to buy the output** — so a **general glut is impossible**. *Galbraith's gloss:* from the price of every product comes a return in **wages, interest, profit or rent** sufficient to buy it — "**somebody, somewhere, gets it all**," and then spends it. Even **saving** is no leak (it becomes **investment**). → *So no state or central bank need manage demand — the intellectual charter of laissez-faire. (Say also gave us the entrepreneur — the risk-taking "motive force" of the economy.)*

- **Malthus's challenge:** demand *can* be **deficient**. Because impoverished workers can't buy much and capitalists plough profits back in rather than consuming, industry can produce **more than the market will absorb** → **overproduction and gluts** → unemployment. His remedy is striking: the "**unproductive consumption**" of the **landowners** (who spend their **rents** on servants, luxuries, estates) **soaks up the surplus** and **fights unemployment**. → So Malthus *defends the aristocracy on economic grounds* — *their idle spending keeps demand up*.
- **The 130-year exile — and vindication:** Ricardo "rescued" Say's Law from Malthus, and it "**survived in triumph until the Great Depression**," when Keynes **repealed it** — arguing demand *can* fall short (people hoard money), so the state must spend to fill the gap. *That repeal "gave birth to macroeconomics,"* and belatedly vindicated Malthus as its forerunner. (Keynes: Ricardo "captured Britain... as the Holy Inquisition captured Spain.")

## David Ricardo (1772–1823) — rent, distribution and the stationary state

**Core:** a stockbroker turned economist (and MP) who made political economy **rigorous and abstract** ("as certain as Euclidean geometry"). His *Principles of Political Economy and Taxation* (1817) fused Smith's growth, Malthus's population, and a new **theory of rent** into a grim model of **distribution and class conflict** — in which the **landlord is the villain**.

### | Differential rent & diminishing returns

**Core:** Ricardo's signature move — the **first systematic use of marginal thinking**. **Rent** arises because land differs in **fertility**, and as the economy grows it must farm **worse and worse land**.

- **The theory of differential rent** (worked out ~1815, with Malthus, West, Torrens): plots differ in fertility and land has **no alternative use**. Competition means the **least fertile plot in use earns no rent** (its corn just covers costs). **Every better plot yields a surplus** — and the **landlord pockets that surplus as rent**. So **rent = the surplus of the more-fertile land over the marginal (worst) land**.
- **Diminishing returns** (the engine): as population and corn prices rise, farmers push onto **marginal land** and work existing land **harder** — but each extra dose of labour/capital yields **less extra corn**. → **Growth → higher corn prices → cultivate marginal land → rents rise → returns diminish**. (*This is the marginal-productivity idea, decades early.*)

### | Distribution & the iron law of wages → the stationary state

**Core:** Ricardo splits national income among **three classes** and shows the shares are locked in a self-defeating dynamic that ends in the **stationary state**.

- **Three incomes:** **rent** (to landlords), **wages** (to workers), **profit** (to capitalists — the *residual* after rent and wages).
- **The iron law of wages** — against Smith's "general plenty," Ricardo insists **labour is a commodity like any other**. Its **natural price** = the wage that just lets workers **subsist and reproduce** (so it

tracks the **price of grain**); its **market price** fluctuates around that with supply and demand. Result: **the worker always lives at the margin of subsistence**.

- **The growth machine that eats itself:** high profits → capitalists invest → demand for labour rises → population grows → corn prices rise → the **margin of cultivation** extends → **rents rise and profits fall** (wages can't fall below subsistence). Falling profits **choke investment** → growth halts. → **Welcome to the stationary society**.
- **The villain: the landlord.** Because rising rents are what strangle profits and growth, **the landlords' interest is opposed to the interest of everyone else**. "*Peasants pay rent to be allowed to work; workers are paid wages to work.*" Growth's problem is **structural** — and it's the **landowners' fault**.

## ▮ Ricardo's solution — free trade & the Corn Laws

**Core:** if home-grown corn is the bottleneck (dear corn → high wages → low profits), then **import cheap corn**. Ricardo's cause was **repealing the Corn Laws**.

- **The Essay on... the Profits of Stock (1815)** and the campaign against the **Corn Laws (1815–1846)** — the tariffs protecting British landowners. **Tariff-free corn imports** would hurt landlords but **secure industry's profits**, promoting **investment and growth**.
- **Comparative advantage:** free trade lets nations exploit their **comparative advantages** (the international division of labour) — everyone gains. (*Repeal came in 1846; British free trade was cemented by the 1860 Cobden Treaty with France.*)

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## ★ The value debate — the labour theory & the "Ricardian detour"

**Core:** the study-question hinge — **how is the value of a good determined?** Smith, Malthus and Ricardo mostly agree on a **labour/cost theory of value**; a rival, **subjective-utility** view (Say) is waiting in the wings.

- **Smith's answer:** value comes from **labour / the cost of production** — the "**natural price**" is set by production costs (recall his **use-value vs exchange-value** puzzle, the water–diamond paradox). Malthus and Ricardo both **accept the labour theory of value** (it's on their "agree" list).
- **Ricardo's version:** prices are **proportional to the labour required to produce goods** — he needed a value theory to compare food and manufactures. (*He knew the snag: under competition prices track production costs, which include capital, not just labour — the technical crack in the labour theory that Marx would later seize on.*)
- **The "Ricardian detour"** (deck's key critical point): by fixing economics on the **labour theory of value**, Ricardo **led the discipline down a path that neglected two things** — the **demand side** (which Smith had kept in view) and **subjective utility value**. → A whole century of value theory arguably took a wrong turn until the **marginal-utility revolution** rediscovered demand.
- **Say's alternative — subjective utility:** Jean-Baptiste Say located value not in labour-cost but in **subjective usefulness to the buyer** — anticipating the later marginalist view that **demand and utility** set value. (*Say thus opposes Malthus twice over: on value — utility vs labour — and on gluts — Say's Law says gluts can't happen.*)

- **The sting in the tail — Ricardo → Marx.** Ricardo's labour theory of value + iron law of wages carried a radical implication he never intended: if labour creates all value but the worker gets only **subsistence**, then the capitalist's **profit** looks like **value taken from the worker** — "an unearned... theft." **Marx** built his whole theory of exploitation on this **Ricardian** foundation. Galbraith's quip: "*If Marx and Lenin deserve busts, somewhere in the background there should be room for an effigy of Ricardo*" — the conservative stockbroker who accidentally armed the revolution.

## Malthus vs Ricardo — where they agree and split

**Core:** the two "dismal economists" share a framework but **clash on politics** — above all on the **landed aristocracy**.

|                               | Agree                                       | Disagree                                                                                                                                           |
|-------------------------------|---------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Value</b>                  | both hold the <b>labour theory of value</b> | —                                                                                                                                                  |
| <b>Poor laws</b>              | both want to <b>abolish</b> poor relief     | —                                                                                                                                                  |
| <b>The landed aristocracy</b> | —                                           | <b>protectors</b> of the social order & absorbers of gluts ( <b>Malthus</b> ) vs <b>free-riders</b> strangling growth with rent ( <b>Ricardo</b> ) |
| <b>Free trade / Corn Laws</b> | —                                           | it <b>undermines the social order</b> (Malthus, pro-landlord) vs it <b>supports growth</b> (Ricardo, repeal the Corn Laws)                         |
| <b>Gluts / Say's Law</b>      | —                                           | <b>general gluts are possible</b> (Malthus) vs <b>Say's Law holds</b> , gluts impossible (Ricardo)                                                 |

- **The deeper split:** **Malthus** is the **conservative** economist — defending land, rent and the old order as economically *useful*; **Ricardo** is the **liberal** economist — attacking rent and the landlords as parasites on growth, championing free trade. → *Same dismal diagnosis, opposite political prescriptions.*

## Edmund Burke (1729–97) — conservatism, "a call for restraint"

**Reading:** Edmund Burke, *Reflections on the Revolution in France* (1790), pp. 25–31, 246–49.

**Core:** the founding text of modern **political conservatism** — a furious reaction against the **French Revolution** and against the English radicals who cheered it. Burke's target is the Enlightenment habit of tearing down inherited institutions in the name of **abstract reason** and **abstract "rights of man."** Against it he defends **inheritance, tradition, prescription and gradual reform.**

- **The great irony of Burke:** he was **not** a lifelong reactionary. He was a **Whig**, an MP, a **constitutionalist**, and a **supporter of the American Revolution** — a **political liberal** who turned **conservative in the face of the French Revolution**. Conservatism is born as **liberalism recoiling from revolution.**

## | The context — the French Revolution & the English 1688

**Core:** Burke writes in 1790, watching France slide from reform toward terror, and contrasts it with England's own "Glorious Revolution" of 1688–89 — which he reads as the **opposite** of 1789: a *preservation*, not a *fabrication*.

- **The French descent** (deck timeline): bankruptcy → **Estates-General** (May 1789) → the Third Estate declares a **National Assembly** → **storming of the Bastille** (July 1789) → constitutional monarchy (1791) → **the Terror (Robespierre, 1792–94)** → king executed (1793) → **Napoleon** (1799 consul, 1804 emperor). Burke wrote *before* the Terror — and looked prophetic when it came.
- **His real target — the "Revolution Society" & Dr. Richard Price.** English radicals claimed 1688 had established **three "rights"**: to **choose our own governors**, to **cashier (remove) them for misconduct**, and to **frame a government for ourselves**. Burke's whole first excerpt **demolishes this reading**:
  - 1688 fixed a *hereditary* succession precisely "to preclude for ever the people of England from choosing their own governors";
  - deposing James II rested on **narrow necessity** (he "broke the original contract," subverted church and state), **not** a general right to sack kings for "misconduct" — "**no government could stand a moment, if it could be blown down with any thing so loose and indefinite as an opinion of 'misconduct.'**" Cashiering kings is "**an extraordinary question of state, and wholly out of the law**" — a matter of *war*, not constitution.
- **1688 = preservation; 1789 = fabrication** — the exam-usable spine: the English secured liberty by **inheriting** it; the French are **fabricating** a new order from scratch, which fills Burke "**with disgust and horror.**"

## | ★ Burke's core ideas

**Core:** legitimacy flows not from **abstract reason** but from what is **old, tested and inherited**. Six moves:

1. **Against abstract reason & "the rights of man."** Real rights are **concrete and inherited** — an "entailed inheritance derived to us from our forefathers, and to be transmitted to our posterity" (Magna Carta → Coke → Blackstone) — **not** deductions from reason. The French are "**illuminated with the light**" they boast of, but Enlightenment "light" is vanity next to the "**ignorance and fallibility of mankind.**" *In plain terms:* don't trust one generation's clever reasoning against the accumulated experience of centuries.
2. **Inheritance & prescription.** "We wished... to derive all we possess as an inheritance from our forefathers." Institutions are legitimate **because they are old** and have been **tested by time** ("the fashions they have never tried; nor go back to those which they have found mischievous on trial"). The constitution is a **plant grown**, not a machine built — you graft on no "**scion alien to the nature of the original plant.**"
3. **Society as an inter-generational inheritance.** The crown and constitution are a "**stock and root of inheritance**" binding the **dead** (who framed it), the **living**, and **posterity** (to whom it's transmitted). (*Burke's famous fuller phrase — society as "a partnership between those who are living, those who are dead, and those who are to be born" — comes later in the book; the assigned pages give it in its constitutional form.*)
4. **Gradual, organic reform — change to preserve.** Burke does **not** reject all change — "**I would not exclude alteration... but even when I changed, it should be to preserve.**" Reform must repair "as

nearly as possible in the style of the building." (*This is the practical meaning of the deck's Burke line — "a state without the means of some change is without the means of its conservation."*) Contrast the reckless French — "the aeronauts of France" on "desperate flights" — with the Englishman standing "on the firm ground of the British constitution."

5. **True liberty is liberty tempered by restraint.** Burke refuses to praise liberty in the abstract: "what is liberty without wisdom, and without virtue? It is the greatest of all possible evils." A "free government" must "temper together these opposite elements of liberty and restraint" — a hard craft of prudence, not a quick deduction. And he skewers revolutionary assemblies: "moderation will be stigmatized as the virtue of cowards; and compromise as the prudence of traitors" — his diagnosis of how they radicalise by outbidding each other.
6. **Defence of the settled order** — hierarchy, monarchy, the **established church**, and **property**. The poor "must respect that property of which they cannot partake"; destroying the "settled order" and "natural subordination" strikes "at the root of all acquisition as of all conservation." (*He even attacks speculative financiers — annuities and paper — as enemies of "settled" landed property: an early conservative critique of finance.*)

## **Burke — take-aways**

**Core:** defending the **social order** against revolution; the watchwords are **order, harmony, cohesion, authority**.

- **Against democracy / "mob rule":** "see what happened in France." The **privileged few** (the nobility/aristocracy) are the **guarantors of order**.
- **Tradition is essential:** the relationship between state and people is the fruit of a **slow, historical "process of growth"** — echoing (deliberately) Adam Smith's "natural progress."
- **It provoked the radicals.** Burke's *Reflections* triggered a wave of replies — most famously **Mary Wollstonecraft's *A Vindication of the Rights of Men* (1790)**: "a desperate disease requires a powerful remedy" (and, two years later, her *Rights of Woman* — [Module 4](#)). → *Burke's conservative counter-attack split liberals from radicals and defined the political spectrum for two centuries.*
- **The module's irony:** Burke's phrase for the new, disenchanted age — "the age of chivalry is gone; that of sophisters, economists, and calculators has succeeded" — names, almost exactly, the **other half of this very module**. The **dismal economists** are Burke's villains.

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## ★ **Study-question answers**

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The lecture's four study questions, worked. (All four are on the economics half; each links to the developed passage.)

**1 · How did Adam Smith define the value of a good? Did Malthus and Ricardo agree? Answer:** see [the value debate](#). Smith gave a **labour/cost-of-production** theory: a good's "**natural price**" is set by what it costs to produce (wages + profit + rent), and behind that lies **labour** — value as *labour commanded* or *labour embodied*. He also split **use-value** from **exchange-value** (the **water–diamond paradox**: water is useful but nearly free; diamonds are useless but dear — so *usefulness* alone can't set

price). **Ricardo agreed and sharpened it** into a rigorous **labour theory of value** (price  $\propto$  labour required to produce a good; scarcity governs only non-reproducible goods like rare art), though he treated **utility as a mere precondition** for value. **Malthus largely accepted the labour theory too** (it's on the "agree" list) — but the three differ in emphasis, and Malthus broke with Ricardo elsewhere (on **gluts** and the **landlords**). The rival view is **Say's subjective-utility** theory (value = usefulness to the buyer), which the "**Ricardian detour**" pushed aside for a century.

**2 • What was "the social question," and what were Malthus's solutions?** *Answer:* see the social question and Malthus on the poor laws. "**The social question**" = the mass **urban poverty** thrown up by the Industrial Revolution and the population explosion — slums, disease, no sanitation, women and children in factories and mines, wages at subsistence: *why are the working masses poor, and what can be done?* **Malthus's answer is bleak:** poverty is rooted in a **natural law** (population outruns food), so no charity can cure it. His "solutions": (a) **moral restraint** — later marriages and pre-marital chastity, the one check that offers hope; and (b) **abolish the poor laws** — poor relief (the **Speenhamland** wage-top-ups) is **counterproductive**, because it encourages the poor to have **more children**, lets employers **cut wages**, breeds **idleness**, and destroys **personal responsibility**. In short, Malthus puts "the poverty of the poor on the shoulders of the poor."

**3 • How did Ricardo explain "the social question"?** *Answer:* see distribution & the iron law of wages. Ricardo explained poverty **structurally**, through the **distribution of income** among three classes. By the **iron law of wages**, labour is a commodity whose **natural price = subsistence** (the wage that just lets workers survive and reproduce, tracking the grain price); the **market wage** oscillates around it, but population growth always drags it back — so **the worker is permanently stuck at the margin of subsistence**. Meanwhile **differential rent** rises as growth pushes farming onto poorer land, and rising rent **squeezes profits** until growth halts (the **stationary state**). The poor are poor **by economic law, not accident** — and (Ricardo insists) any rescue by state, employer or union is **futile**. His culprit is the **landlord**, whose unearned rent grows with everyone else's misery; his remedy is **free trade** — repeal the Corn Laws to cheapen food, relieve wages, and revive profits.

**4 • What did Malthus mean by "market gluts," and what is Say's Law?** *Answer:* see market gluts & Say's Law. **Say's Law** = "*supply creates its own demand*": every act of production pays out exactly enough income (wages, interest, profit, rent) to buy the output — "**somebody, somewhere, gets it all**" — so a **general glut (economy-wide overproduction) is impossible**, and government need not manage demand. **Malthus's "market gluts"** challenge this: demand **can** fall short of output (impoverished workers can't buy much; capitalists reinvest instead of consuming), so the economy **can** suffer **general overproduction, unsold goods and unemployment**. His fix: the "**unproductive consumption**" of the landowners (spending their rents) mops up the surplus. Ricardo sided with Say and won the argument for a century — until **Keynes** revived Malthus's insight and "**repealed**" Say's Law, founding **macroeconomics**.

## ★ Fun facts & memorable details

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Sticky bits from Module 6 (Malthus • Ricardo • Say • Burke).

The dismal economists

- **Why "the dismal science."** The phrase is **Thomas Carlyle's** — his jibe at the "**Respectable Professors of the Dismal Science**," those hard-hearted economists who proved that charity is futile and misery inevitable. The nickname stuck for two centuries.
- **Ricardo the accidental revolutionary.** A conservative **stockbroker** who made a fortune in ~5 years, retired to a **landed estate**, and sat in Parliament — yet his **labour theory of value + iron law** handed **Marx** the theory of exploitation. Galbraith: "*If Marx and Lenin deserve busts... there should be room for an effigy of Ricardo.*"
- **Keynes on Ricardo's dominance:** he "**captured Britain as completely as the Holy Inquisition captured Spain**" — Say's Law became the badge that separated "reputable scholars from frauds and crackpots."
- **Malthus vs Ricardo — best frenemies.** The two were **close friends** who **disagreed about almost everything** ("wide-ranging and admiring disagreement") — value, gluts, the landlords, free trade. Economics as a friendship built on argument.
- **Malthus, quietly vindicated.** His "market gluts" idea was **ignored for a century** — then **Keynes** dusted it off in the 1930s and made him the grandfather of **demand-management**. The pessimist had been half-right.
- **Galbraith's zinger** on leaving population to the market (à la Reagan): ardent couples, instead of going to bed, "would betake themselves to the nearest **shopping mall**."

#### Burke & conservatism

- **Conservatism was founded by a liberal.** Burke was a **Whig**, a reformer, and a **supporter of the American Revolution** — who recoiled so hard from the **French** one that he wrote the founding text of the **Right**.
  - **He wrote before the Terror — and looked like a prophet.** *Reflections* (1790) predicted the Revolution would end in violence and military dictatorship; the guillotine and **Napoleon** duly obliged.
  - **"The aeronauts of France."** Burke's image for the revolutionaries: reckless **balloonists** drifting free of the ground, against the Englishman standing "**on the firm ground of the British constitution**."
  - **"Even when I changed, it should be to preserve."** Burke's whole method in seven words — repair the house "**in the style of the building**," never demolish it.
  - **He provoked a feminist classic.** *Reflections* triggered **Mary Wollstonecraft's A Vindication of the Rights of Men (1790)** — "*a desperate disease requires a powerful remedy*" — two years before her more famous *Rights of Woman*.
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